

Alfido Tech — Customer Behavior Analysis

Executive report

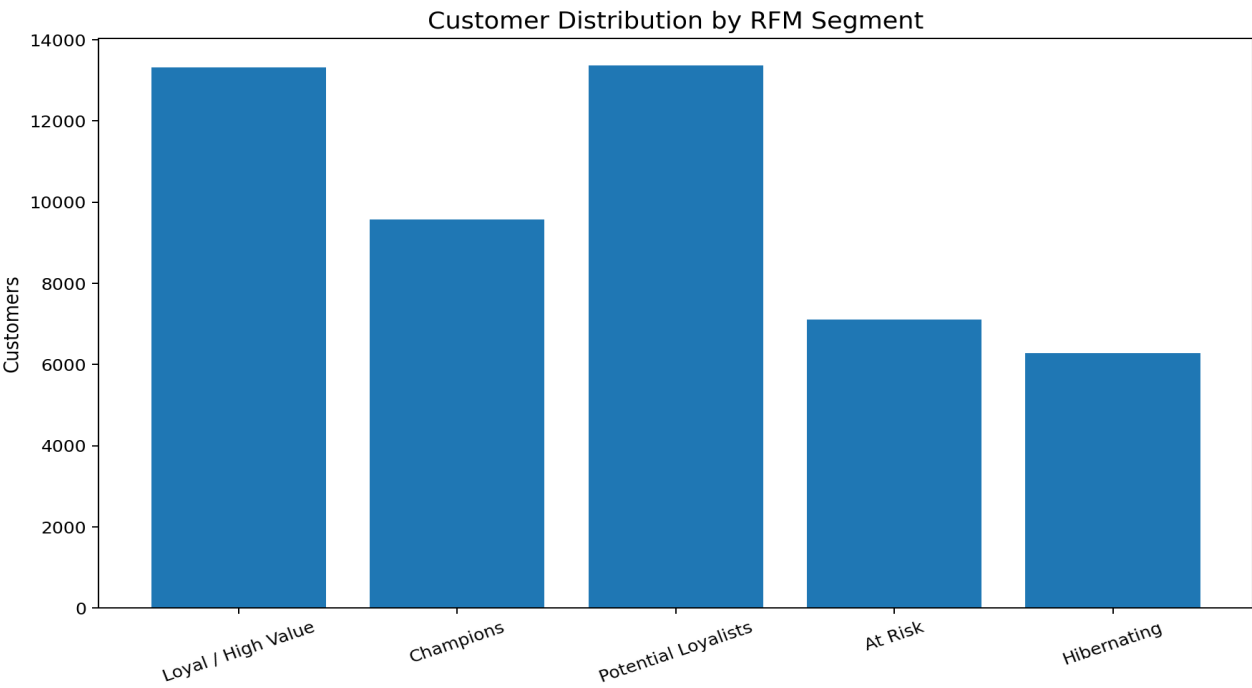
Metric	Result
Transactions	250,000
Unique customers	49,661
Total purchase amount	681,346,299
Average transaction	2,725.39
Repeat-customer share	96.7%
Churn label rate	20.0%

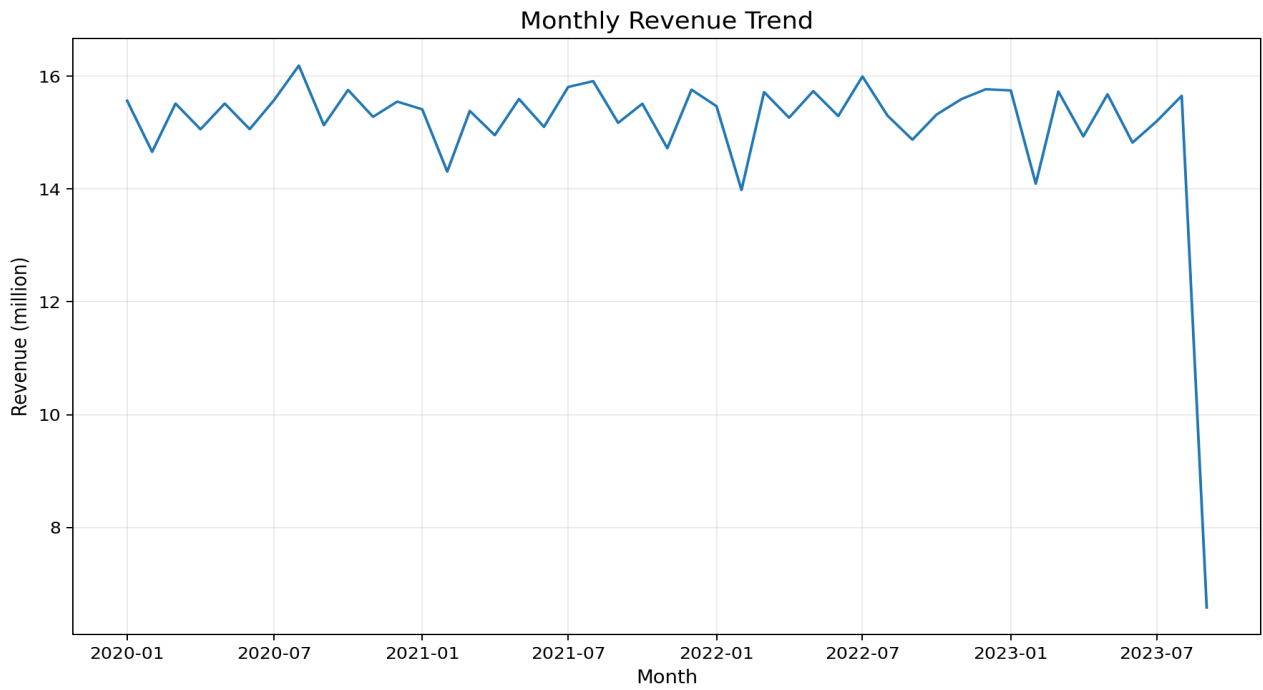
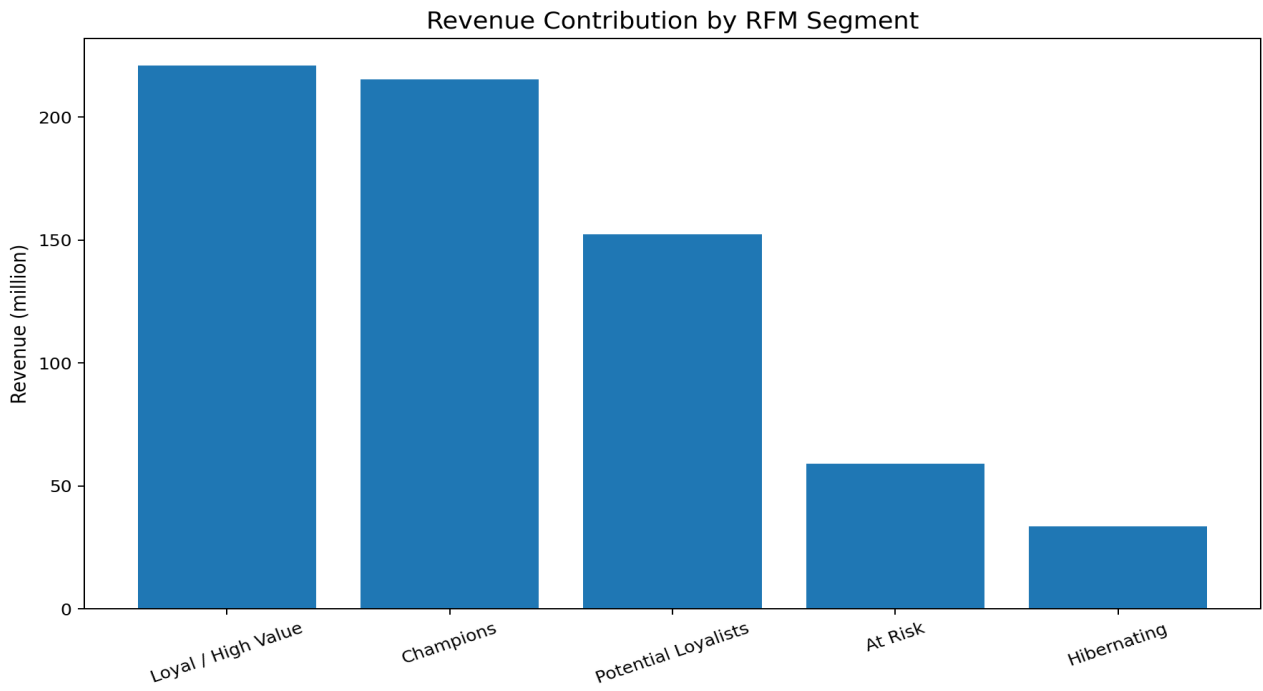
Key findings

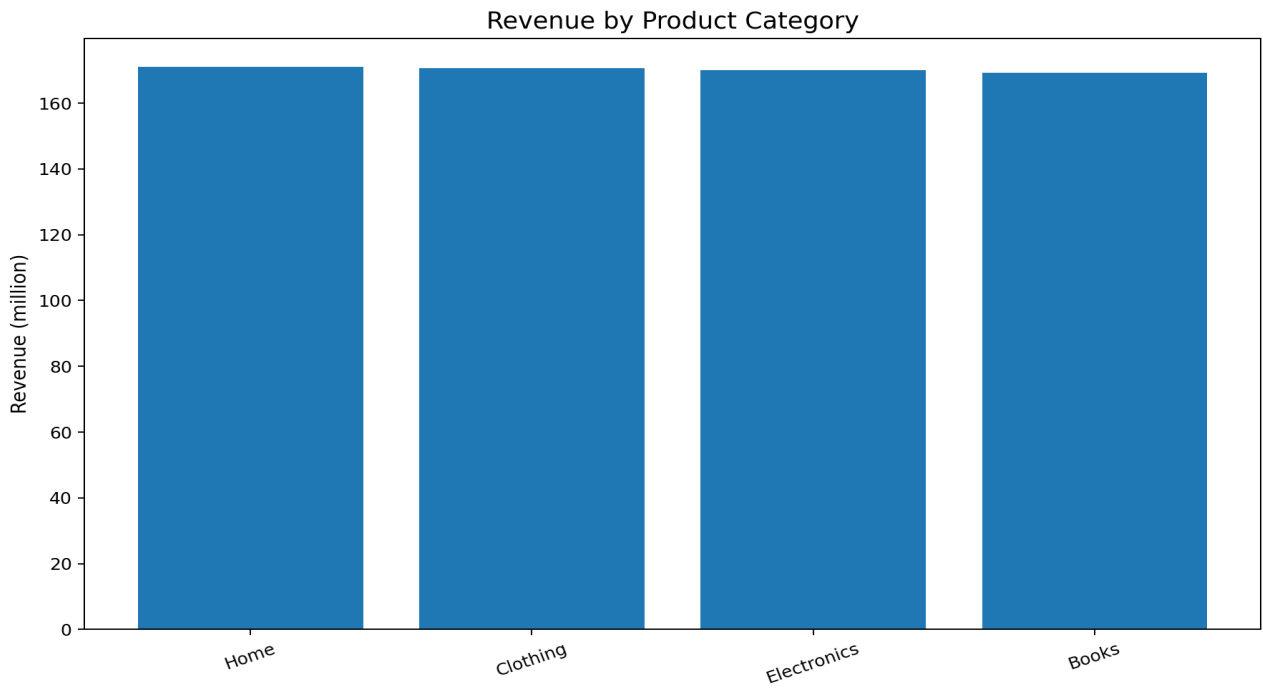
The data contains 250,000 transactions from 49,661 customers. Repeat purchasing is very high, while RFM segmentation identifies clear engagement/value tiers. Home, Clothing, Electronics and Books contribute almost equal revenue, so no single category dominates.

RFM segments

Segment	Customers	Revenue	Share	Recency	Frequency	Churn
Loyal / High Value	13,329	220,923,013	32.4%	176d	6.0	19.9%
Champions	9,573	215,479,946	31.6%	77d	7.9	20.6%
Potential Loyalists	13,367	152,343,964	22.4%	240d	4.3	19.4%
At Risk	7,110	59,063,816	8.7%	371d	3.3	20.2%
Hibernating	6,282	33,535,560	4.9%	654d	2.2	20.3%

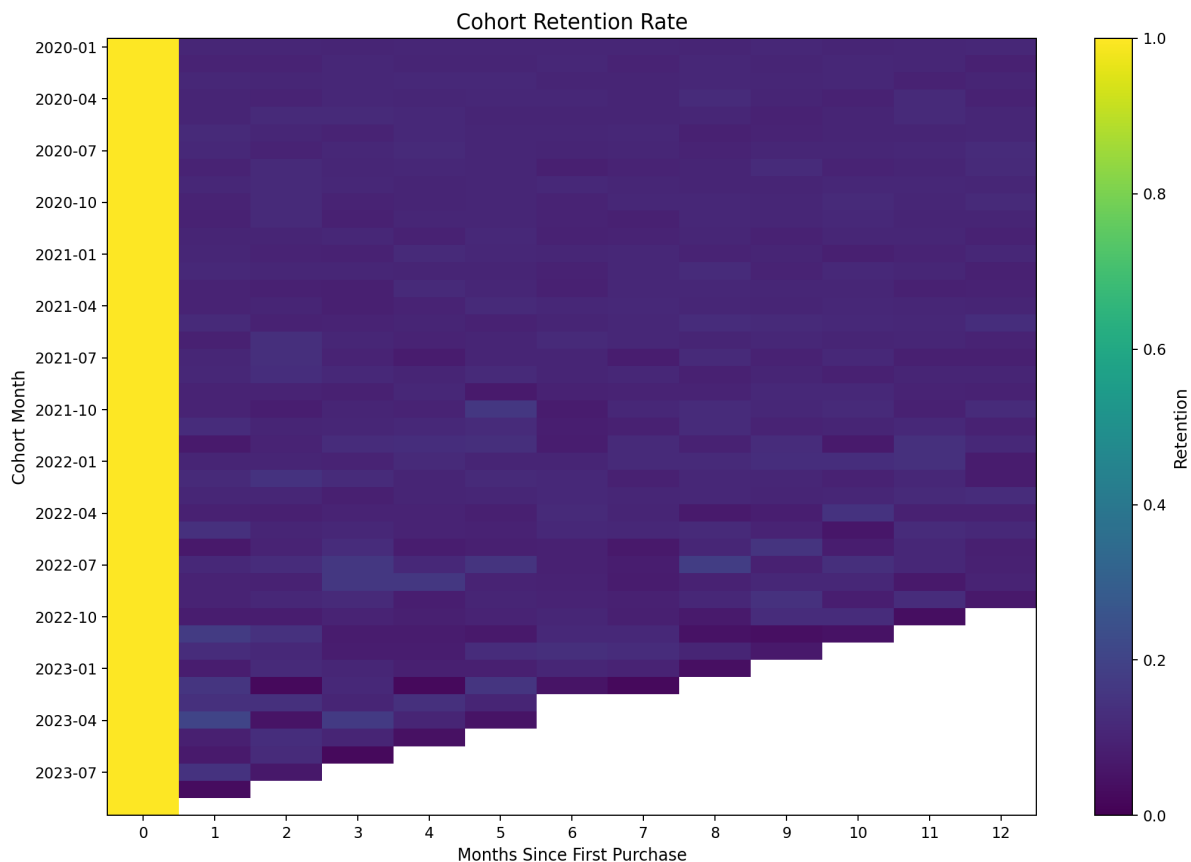






Retention and churn-risk interpretation

Cohort retention drops sharply after the first purchase month and then stabilizes around roughly 10–11% in the visible early months. This makes second-purchase conversion and early lifecycle engagement a major opportunity.



Important churn caveat

The supplied churn label is approximately 20% overall and is almost flat across RFM segments and recency bands. Correlations between churn and Recency, Frequency, Monetary value and Return Rate are close to zero. Therefore, these segments are best used for engagement prioritization rather than as a validated churn-prediction model.

Five actionable recommendations

1. *Champions/VIP journey*

Protect high-value customers with early access, loyalty benefits and personalized bundles.

2. *At-Risk win-back*

Trigger reminders and category-specific offers when inactivity crosses defined thresholds.

3. *Hibernating reactivation*

Start with low-cost content/product reminders and control discount spend.

4. *Category cross-sell*

Use category history to recommend complementary products and bundles.

5. *Improve churn and retention measurement*

Define churn from explicit inactivity/cancellation events and track campaign exposure, tenure and second-purchase conversion.